

OBJECTIVE

LECTURER GUIDE ECONOMICS

MCQs / Short Questions & Answers

FOR

- Lectureship
- Assistant Professor
& Subject Specialist
- More than 4000 MCQs
- Short Questions & Answers
- Model Papers
- Previous Papers
- NTS, IBA, ETEA, GAT
- FPSC, KPPSC, SPSC, BPSC

Waqar Ahmad

Muhammad Azeem

TAXATION

1. Sana values a pair of blue jeans at Rs.400. If the price is Rs350, Sana buys the jeans and generates consumer surplus of Rs.50. Suppose a tax is placed on blue jeans that causes the price of blue jeans to rise to Rs.450. Now Sana chooses not to buy a pair of jeans. This example has demonstrated
 - (a) the deadweight loss from a tax.
 - (b) the ability-to-pay principle.
 - (c) the benefits principle.
 - (d) horizontal equity.
 - (e) the administrative burden of a tax.
2. The average tax rate is:
 - (a) total taxes paid divided by total income.
 - (b) the extra taxes paid on an additional dollar of income.
 - (c) the taxes paid by the marginal worker.
 - (d) total income divided by total taxes paid
3. A progressive tax system is one where:
 - (a) marginal tax rates are high.
 - (b) higher income taxpayers pay more taxes than do lower income taxpayers.
 - (c) marginal tax rates are low.
 - (d) higher income taxpayers pay a greater percentage of their income in taxes than do lower income taxpayers.
4. The ability-to-pay principle of taxation suggests that if a tax system is to be vertically equitable, it should be:
 - (a) efficient.
 - (b) progressive
 - (c) regressive.
 - (d) proportional.
5. Which of the following taxes can be supported by the benefits principle of taxation?
 - (a) All of these answers can be supported by the benefits principle of taxation.
 - (b) progressive income taxes used to pay for national defence
 - (c) petrol taxes used to pay for roads
 - (d) property taxes used to pay for police and the court system
 - (e) progressive income taxes used to pay for antipoverty programs
6. The appropriate tax rate to consider to gauge how much the tax system distorts incentives and decision making is the
 - (a) proportional tax rate,
 - (b) average tax rate,
 - (c) marginal tax rate,
 - (d) vertical tax rate,
 - (e) horizontal tax rate.
7. Refer to Exhibit 4. If a tax is placed on the product in this market, total surplus is the area
 - (a) $A + B + C + D + E + F$.
 - (b) $A + B + C + D$
 - (c) $A + D$
 - (d) $B + C + E + F$.
8. Refer to Exhibit 4. If a tax is placed on the product in this market, deadweight loss is the area
 - (a) $B + C + E + F$.
 - (b) $E + F$.
 - (c) $B + C$
 - (d) $A + B + C + D$
9. Refer to Exhibit 4. Which of the following is true with regard to the burden of the tax in Exhibit 4?
 - (a) The buyers pay a larger portion of the tax because demand is more inelastic than supply.
 - (b) The sellers pay a larger portion of the tax because supply is more elastic than demand
 - (c) The buyers pay a larger portion of the tax because demand is more elastic than supply.
 - (d) The sellers pay a larger portion of the tax because supply is more inelastic than demand
10. Which of the following would likely cause the greatest deadweight loss?
 - (a) a tax on salt
 - (b) a tax on cigarettes
 - (c) a tax on petrol
 - (d) a tax on cruise line tickets
11. A tax on petrol is likely to:

- (a) generate a deadweight loss that is unaffected by the time period over which it is measured
 (b) cause a greater deadweight loss in the long run when compared to the short run.
 (c) none of these answers
 (d) cause a greater deadweight loss in the short run when compared to the long run.
12. Deadweight loss is greatest when
 (a) supply is elastic and demand is perfectly inelastic
 (b) demand is elastic and supply is perfectly inelastic
 (c) both supply and demand are relatively inelastic
 (d) both supply and demand are relatively elastic
13. Since the supply of undeveloped land is relatively inelastic, a tax on undeveloped land would generate
 (a) a small deadweight loss and the burden of the tax would fall on the renter.
 (b) a large deadweight loss and the burden of the tax would fall on the landlord
 (c) a large deadweight loss and the burden of the tax would fall on the renter.
 (d) a small deadweight loss and the burden of the tax would fall on the landlord
14. Which of the following is true with regard to a tax on labor income? Taxes on labor income tend to encourage
 (a) the unscrupulous to enter the underground economy.
 (b) the elderly to retire early.
 (c) all of the things described in these answers.
 (d) second earners to stay home.
 (e) workers to work fewer hours.
15. When a tax on a good starts small and is gradually increased, tax revenue
 (a) will fall.
 (b) will rise.
 (c) will first rise and then fall.
 (d) will first fall and then rise.
16. A tax system is regarded as horizontally equitable if:

- (a) all taxpayers pay the same amount of tax
 (b) taxes on all goods are levied at the same rate
 (c) taxes are as low as possible
 (d) the system comprises only lump sum taxes
 (e) taxpayers with similar abilities to pay taxes pay the same amount
17. Refer to Exhibit 4. If there is no tax placed on the product in this market, producer surplus is the area
 (a) A + B + E. (b) D
 (c) C + F. (d) C + D + F.
18. Refer to Exhibit 4. If a tax is placed on the product in this market, consumer surplus is the area
 (a) D (b) A
 (c) A + B + E. (d) A + B + C + D
19. Refer to Exhibit 4. If a tax is placed on the product in this market, producer surplus is the area
 (a) A + B + E. (b) A + B + C + D
 (c) A (d) D
20. Refer to Exhibit 4. If a tax is placed on the product in this market, tax revenue paid by the buyers is the area
 (a) B + C + E + F. (b) B
 (c) B + C (d) A
21. Refer to Exhibit 4. If a tax is placed on the product in this market, tax revenue paid by the sellers is the area
 (a) C + F. (b) A
 (c) B (d) C
22. The graph that shows the relationship between the size of a tax and the tax revenue collected by the government is known as a
 (a) none of these answers
 (b) Reagan curve.
 (c) Keynesian curve.
 (d) Laffer curve.
 (e) Henry George curve.
23. A tax for which high income taxpayers pay a smaller fraction of their income than do low income taxpayers is known as
 (a) a proportional tax.
 (b) a regressive tax.

- (c) an equitable tax.
(d) a progressive tax.
24. **An efficient tax:**
(a) minimizes the administrative burden from the tax.
(b) does all of the things described in these answers.
(c) raises revenue at the smallest possible cost to taxpayers.
(d) minimizes the deadweight loss from the tax.
25. **The marginal tax rate is:**
(a) the taxes paid by the marginal worker,
(b) total income divided by total taxes paid
(c) the extra taxes paid on an additional unit of income.
(d) total taxes paid divided by total income.
26. **The appropriate tax rate to consider to judge the vertical equity of a tax system is the:**
(a) marginal tax rate.
(b) average tax rate.
(c) horizontal tax rate.
(d) proportional tax rate.
27. **If a tax on a good is doubled, the deadweight loss from the tax**
(a) doubles.
(b) stays the same.
- (c) Increases by a factor of four,
(d) could rise or fall,
28. **The reduction of a tax:**
(a) will have no impact on tax revenue.
(b) will always reduce tax revenue regardless of the prior size of the tax.
(c) could increase tax revenue if the tax had been extremely high.
(d) causes a market to become less efficient.
29. **When a tax distorts incentives to buyers and sellers so that fewer goods are produced and sold than otherwise, the tax has**
(a) caused a deadweight loss.
(b) decreased equity.
(c) generated no tax revenue.
(d) increased efficiency.
30. **If the Pakistani government runs a budget surplus, there is:**
(a) an excess of government receipts over government spending.
(b) an equality of government spending and receipts.
(c) a surplus of government workers.
(d) an excess of government spending over government receipts.

ANSWERS

1	a	2	a	3	d	4	b	5	a	6	c	7	b	8	b	9	d	10	d
11	b	12	d	13	d	14	c	15	c	16	e	17	d	18	b	19	d	20	b
21	d	22	d	23	b	24	b	25	c	26	b	27	c	28	c	29	a	30	a

EXTERNALITY & INTERNALITY

A negative externality (that has not been internalized) causes the

- optimal quantity to exceed the equilibrium quantity.
- equilibrium quantity to be either above or below the optimal quantity.
- equilibrium quantity to equal the optimal quantity.
- equilibrium quantity to exceed the optimal quantity.

The gas-guzzler tax that is placed on new vehicles that are very fuel inefficient is an example of

- a tradable pollution permit.
- an attempt to internalize a positive externality.
- an application of the Coase theorem.
- an attempt to internalize a negative externality.

A Pigovian tax on pollution:

- sets the quantity of pollution.
- reduces the incentive for technological innovations to further reduce pollution.
- sets the price of pollution.
- determines the demand for pollution rights.

Tradable pollution permits

- reduce the incentive for technological innovations to further reduce pollution.
- set the price of pollution.
- determine the demand for pollution rights.
- set the quantity of pollution.

When wealthy alumni provide charitable contributions to their universities to reduce the tuition payments of current students, it is an example of:

- an attempt to internalize a positive externality.
- an attempt to internalize a negative externality.
- a Pigovian tax.
- a command-and-control policy.

- Suppose an industry emits a negative externality such as pollution and the possible methods to internalize the externality are command-and-control policies, Pigovian taxes, and tradable pollution permits. If economists were to rank these methods for internalizing a negative externality based on efficiency, ease of implementation, and the incentive for the industry to further reduce pollution in the future, they would probably rank them in the following order (from most favoured to least favoured):

- Pigovian taxes, command-and-control policies, tradable pollution permits,
- tradable pollution permits, Pigovian taxes, command-and-control policies
- tradable pollution permits, command-and-control policies, Pigovian taxes,
- command-and-control policies, tradable pollution permits, Pigovian taxes.
- They would all rank equally high because the same result can be obtained from any one of the policies.

- The government engages in a technology policy

- by allocating tradable technology permits to high technology industry.
- to internalize the positive externality associated with technology-enhancing industries.
- to help stimulate private solutions to the technology externality.
- to internalize the negative externality associated with industrial pollution.

- When an individual buys a car in a congested urban area, it generates

- a positive externality.
- a technology spillover.
- an efficient market outcome.
- a negative externality.

- The most efficient pollution control system would ensure that

- (a) the regulators decide how much each polluter should reduce its pollution.
 (b) no pollution of the environment is tolerated
 (c) each polluter reduce its pollution an equal amount.
 (d) the polluters with the lowest cost of reducing pollution reduce their pollution the greatest amount.
10. According to the Coase theorem, private parties can solve the problem of externalities if:
 (a) there are no transaction costs.
 (b) each affected party has equal power in the negotiations.
 (c) the party affected by the externality has the initial property right to be left alone.
 (d) there are a large number of affected parties.
 (e) the government requires them to negotiate with each other.
11. To internalize a positive externality, an appropriate public policy response would be to:
 (a) ban the good creating the externality.
 (b) tax the good
 (c) subsidize the good
 (d) have the government produce the good until the value of an additional unit is zero.
12. Which of the following is not considered a transaction cost incurred by parties in the process of contracting to eliminate a pollution externality?
 (a) costs incurred due to lawyers' fees
 (b) costs incurred to reduce the pollution
 (c) costs incurred to enforce the agreement
 (d) costs incurred due to a large number of parties affected by the externality
 (e) All of these answers are considered transaction costs.
13. Roberto and Thomas live in a university hall of residence. Roberto values playing loud music at a value of €100. Thomas values peace and quiet at a value of €150. Which of the following statements is true?
 (a) It is efficient for Roberto to stop playing loud music regardless of who has the property right to the level of sound
 (b) It is efficient for Roberto to continue to play loud music
 (c) It is efficient for Roberto to stop playing loud music only if Thomas has the property right to peace and quiet.
 (d) It is efficient for Roberto to stop playing loud music only if Roberto has the property right to play loud music
14. Roberto and Thomas live in a university hall of residence. Roberto values playing loud music at a value of €100. Thomas values peace and quiet at a value of €150. Which of the following statements is true about an efficient solution to this externality problem if Roberto has the right to play loud music and if there are no transaction costs?
 (a) Thomas will pay Roberto between €100 and €150 and Roberto will continue to play loud music
 (b) Roberto will pay Thomas €150 and Roberto will continue to play loud music
 (c) Thomas will pay Roberto between €100 and €150 and Roberto will stop playing loud music
 (d) Roberto will pay Thomas €100 and Roberto will stop playing loud music
15. Which of the following is true regarding tradable pollution permits and Pigovian taxes?
 (a) All of these answers are true.
 (b) Pigovian taxes and tradable pollution permits create an efficient market for pollution.
 (c) Tradable pollution permits efficiently reduce pollution only if they are initially distributed to the firms that can reduce pollution at the lowest cost.
 (d) To set the quantity of pollution with tradable pollution permits, the regulator must know everything about the demand for pollution rights.
 (e) Pigovian taxes are more likely to reduce pollution to a targeted amount than tradable pollution permits.

16. Publishers

An externality is:

- (a) the benefit that accrues to the buyer in a market.
- (b) the cost that accrues to the seller in a market.
- (c) none of these answers.
- (d) the compensation paid to a firm's external consultants.
- (e) the uncompensated impact of one person's actions on the well-being of a bystander.

A negative externality generates:

- (a) a social cost curve that is above the supply curve (private cost curve) for a good
- (b) none of these answers.

- (c) a social cost curve that is below the supply curve (private cost curve) for a good
- (d) a social value curve that is above the demand curve (private value curve) for a good

18. A positive externality generates

- (a) a social cost curve that is above the supply curve (private cost curve) for a good
- (b) none of these answers.
- (c) a social value curve that is above the demand curve (private value curve) for a good
- (d) a social value curve that is below the demand curve (private value curve) for a good

ANSWERS

d	2	d	3	c	4	d	5	a	6	b	7	b	8	d	9	d	10	a
c	12	b	13	a	14	c	15	b	16	e	17	a	18	c				

PUACP

PUBLIC GOODS

1. A negative externality affects market efficiency in a manner similar to
 - (a) an excludable good.
 - (b) a private good.
 - (c) a common resource.
 - (d) a public good.
2. If one person's consumption of a good diminishes other people's use of the good, the good is said to be:
 - (a) rival.
 - (b) a good produced by a natural monopoly.
 - (c) a common resource
 - (d) excludable
3. The Tragedy of the Commons is a parable that illustrates why?
 - (a) common resources are overconsumed.
 - (b) public goods are underproduced.
 - (c) private goods are underconsumed.
 - (d) natural monopolies overproduce goods.
4. Which of the following are potential solutions to the problem of air pollution?
 - (a) Grant rights of the clean air to citizens so that firms must purchase the right to pollute.
 - (b) Auction off pollution permits.
 - (c) Regulate the amount of pollutants that firms can put in the air.
 - (d) all of these answers
5. When markets fail to allocate resources efficiently, the ultimate source of the problem is usually
 - (a) government regulation.
 - (b) that prices are not low enough so firms overproduce.
 - (c) that prices are not high enough so people overconsume.
 - (d) that property rights have not been well established
6. If a person can be prevented from using a good, the good is said to be
 - (a) excludable.
 - (b) a common resource,
 - (c) a public good
 - (d) rival.
7. Suppose each of 20 neighbours on a street values street repairs at €3,000. The cost of the street repair is €40,000. Which of the following statements is true?
 - (a) It is efficient for the government to tax the residents €2,000 each and repair the road
 - (b) It is efficient for each neighbour to pay €3,000 to repair the section of street in front of his/her home.
 - (c) None of these answers are true.
 - (d) It is not efficient to have the street repaired
8. A free rider is a person who
 - (a) receives the benefit of a good but avoids paying for it.
 - (b) pays for a good but fails to receive any benefit from the good
 - (c) fails to produce goods but is allowed to consume goods.
 - (d) produces a good but fails to receive payment for the good
9. Which of the following is an example of a public good?
 - (a) hot dogs at a picnic
 - (b) whales in the ocean
 - (c) national defence
 - (d) apples on a tree in a public park
10. A positive externality affects market efficiency in a manner similar to a
 - (a) rival good.
 - (b) public good.
 - (c) private good.
 - (d) common resource.
11. Public goods are difficult for a private market to provide due to:
 - (a) the rivalness problem.
 - (b) the public goods problem.
 - (c) the Tragedy of the Commons.
 - (d) the free-rider problem.
12. A public good is:
 - (a) neither rival nor excludable.
 - (b) rival but not excludable.

- (c) both rival and excludable.
(d) not rival but excludable.
13. A private good is
(a) rival but not excludable.
(b) not rival but excludable.
(c) both rival and excludable.
(d) neither rival nor excludable.
14. A good produced by a natural monopoly is:
(a) rival but not excludable.
(b) neither rival nor excludable.
(c) not rival but excludable.
(d) both rival and excludable.
15. When governments employ cost-benefit analysis to help them decide whether to provide a public good, measuring benefits is difficult because
(a) there are no benefits to the public since a public good is not excludable.
(b) the benefits are infinite because a public good is not rival and an infinite amount of people can consume it at the same time.
(c) one can never place a value on human life or the environment.
(d) respondents to questionnaires have little incentive to tell the truth.
16. A congested toll road is:
(a) a good produced by a natural monopoly.
(b) a private good
(c) a public good
(d) a common resource.
17. A person who regularly watches BBC television programmes in the UK but fails to pay their TV licence fee is known as
(a) excess baggage.
(b) a free rider.
(c) a costly rider.
(d) a common resource.
(e) an unwelcome rider.
18. Suppose that requiring motorcycle riders to wear helmets reduces the probability of a motorcycle fatality from 0.3 percent to 0.2, percent over the lifetime of a motorcycle rider and that the cost of a lifetime supply of helmets is Rs.500. It is efficient for the government to require riders to wear helmets if human life is valued at
(a) Rs150 or more.
(b) Rs500,000 or more.
(c) Rs50,000 or more.
(d) Rs500 or more.
(e) Rs100 or more.

ANSWERS

c	2	a	3	a	4	d	5	d	6	a	7	a	8	a	9	c	10	b
d	12	a	13	c	14	c	15	d	16	b	17	b	18	b				

RISK AND DIVERSIFICATION & EFFICIENT MARKET HYPOTHESIS

If people are risk averse, then:

- (a) none of these answers are true.
- (b) all of these answers are true.
- (c) they dislike bad things more than the like comparable good things.
- (d) the utility they would lose from losing a Rs 50 bet would exceed the utility they would gain from winning a Rs 50 bet.
- (e) their utility functions exhibit the property of diminishing marginal utility of wealth.

Which of the following should cause the price of a share of stock to rise?

- (a) None of these answers
- (b) An increase in expected dividends
- (c) A reduction in aggregate risk
- (d) A reduction in the interest rate
- (e) All of these answers

Speculative bubbles may occur in the shares market:

- (a) during periods of extreme pessimism because so many stocks become undervalued"
- (b) only when people are irrational.
- (c) when stocks are fairly valued
- (d) because rational people may buy an overvalued share if they think they can sell it to someone for even more at a later date.

Share prices will follow a random walk if:

- (a) shares are overvalued
- (b) people behave irrationally when choosing shares.
- (c) markets reflect all available information in a rational way.
- (d) shares are undervalued

It is difficult for an actively managed investment fund to outperform an index fund because:

- (a) stock markets tend to be inefficient.
- (b) all of these answers

(c) index funds are able to buy undervalued stocks.

(d) actively managed funds trade more often and charge fees for their alleged expertise.

6. Which of the following does not help reduce the risk that people face?

- (a) increasing the rate of return within their portfolio
- (b) diversifying their portfolio
- (c) All of these answers help reduce risk.
- (d) buying insurance

7. Compared to a portfolio composed entirely of shares, a portfolio that is 50 percent government bonds and 50 percent shares will have a

- (a) lower return and a lower level of risk.
- (b) lower return and a higher level of risk.
- (c) higher return and a lower level of risk.
- (d) higher return and a higher level of risk.

8. The study of a company's accounting statements and future prospects to determine its value is known as

- (a) information analysis.
- (b) risk management.
- (c) fundamental analysis.
- (d) diversification.

9. The amount today that would be needed, at prevailing interest rates, to produce a particular sum in the future is known as:

- (a) future value.
- (b) fair value.
- (c) present value.
- (d) compound value.
- (e) beginning value.

10. If a depositor puts Rs100 in a bank account that earns 4 percent interest compounded annually, how much will be in the account after five years?

- (a) Rs 400.00
- (b) Rs 104.00
- (c) Rs 121.67
- (d) Rs 123.98

11. JCB (which makes agricultural and construction equipment) has the opportunity to purchase a new factory today that will provide them with a Rs50 million return four years from now. If prevailing interest rates are 6 percent, what is the maximum that the project can cost for JCB to be willing to undertake the project?
- (a) Rs43,456,838 (b) Rs53,406,002
(c) Rs34,583,902 (d) Rs39,604,682
12. An increase in the prevailing interest rate:
- (a) increases the present value of future returns from investment, and increases investment.
(b) decreases the present value of future returns from investment, and decreases investment.
(c) decreases the present value of future returns from investment, and increases investment.
(d) increases the present value of future returns from investment, and decreases investment.
13. If two countries start with the same real GDP/person, and one country grows at 2 percent while the other grows at 4 percent,
- (a) one country will always have 2 percent more real GDP/person than the other.
(b) the standard of living in the country growing at 4 percent will start to accelerate away from the slower growing country due to compound growth.
(c) the standard of living in the two countries will converge.
(d) next year the country growing at 4 percent will have twice the GDP/person as the country growing at 2 percent.
14. If the efficient markets hypothesis is true, then
- (a) shares tend to be overvalued
(b) the stock market is informational efficient so share prices should follow a random walk.
(c) all of these answers
(d) fundamental analysis is a valuable tool for increasing one's returns from investing in shares.
15. Which of the following reduces risk in a portfolio the greatest?
- (a) Increasing the number of shares from 10 to 20
(b) All of these answers provide the same amount of risk reduction.
(c) Increasing the number of shares in a portfolio from 1 to 10
(d) Increasing the number of shares from 20 to 30
16. Which of the following is an example of moral hazard?
- (a) After Gull buys fire insurance, he begins to smoke cigarettes in bed.
(b) None of these answers demonstrate moral hazard.
(c) Mahmood has been feeling poorly lately so he seeks health insurance.
(e) All of these answers demonstrate moral hazard.
17. Idiosyncratic risk is the:
- (a) uncertainty associated with the overall economy.
(b) uncertainty associated with specific companies.
(c) risk associated with adverse selection.
(d) risk associated with moral hazard.
18. Diversification of a portfolio can:
- (a) reduce aggregate risk.
(b) eliminate all risk.
(c) Increase the standard deviation of a portfolio's return.
(d) reduce idiosyncratic risk.

ANSWERS

1	b	2	e	3	d	4	c	5	d	6	a	7	a	8	c	9	c	10
11	d	12	b	13	b	14	b	15	c	16	a	17	b	18	d			